

and hedge funds have armies of investment managers and analysts. Pabrai Funds shamelessly copied this, too.

Pabrai Funds operates with an investment team size of one. I'm not aware of any mutual funds or hedge funds with over \$300 million in assets operating with a single-person team. There was, however, one hedge fund that ended operations in 1970 that operated this way. The Buffett Partnerships always had an investment team size of one—Mr. Warren Buffett. In 1970, when he terminated the partnership, it had over \$100 million in assets, which in 2006 dollars would be over \$600 million.

Since 1970 until today, Mr. Buffett's capital under management at Berkshire Hathaway has mushroomed to well over \$100 billion. Even today, the investment team size at Berkshire Hathaway, for the bulk of the capital, is one individual—Mr. Buffett himself. Besides managing over \$100 billion, he is the CEO of one of the largest companies in North America with over 180,000 employees. On top of that, he still finds time to play 10 to 15 hours of bridge every week. Clearly, a single human brain is not tapped out managing even \$100 billion in disparate assets.

Some would argue that Charlie Munger works with Mr. Buffett and, hence, the team size is at least two. Mr. Buffett and Mr. Munger have an unusual relationship. Mr. Munger lives in Los Angeles while Mr. Buffett is a lifelong resident of Omaha. The two men speak a few times every month on the phone, and they likely meet less than 3 to 4 times a year. Mr. Buffett does consult Mr. Munger from time to time on certain investments or acquisitions, but there are two facets to this interaction:

1. For many investments or acquisitions, Mr. Buffett does not consult Mr. Munger at all. For example, when Berkshire acquired General Re, its largest acquisition ever, Mr. Munger did not know it was even in the works until the deal was nearly done.
2. Sometimes Mr. Buffett consults Mr. Munger and if Mr. Munger is negative or skeptical, he proceeds anyway.

This is not a traditional investment team. These are two individuals who proceed with investments even when they don't have consensus. One partner sometimes does not even bother to consult the other partner from time to time.